



Katalaxy Technologies Plc – Q2 2026 Earnings Call Transcript

Operator:

Good morning and welcome to the Katalaxy Technologies Q2 2026 earnings call. All participants are in listen-only mode. Following prepared remarks, we will open the call for questions.

CEO – Andrew Hale:

Thank you. Q2 marked a transitional quarter for Katalaxy.

Revenue increased 8% year-on-year to £412 million, driven primarily by growth in our data analytics division.

Recurring subscription revenue now represents 64% of total revenue, up from 58% last year.

However, operating margin declined from 18% to 15%.

This reflects continued investment in cloud infrastructure and higher compliance costs following new European regulatory requirements.

CFO – Sarah Malik:

Operating expenses increased 14% year-on-year.

Technology investment accounted for approximately half of this increase.

We also experienced higher staff costs as we expanded our engineering and regulatory teams.

Free cash flow was £38 million, down from £52 million in the prior-year quarter.

Net debt stands at £210 million, compared with £185 million at year-end.

We remain within covenant thresholds and maintain strong liquidity, with £140 million in undrawn credit facilities.

CEO – Andrew Hale:

Looking ahead, we expect revenue growth in the mid-single digits for the remainder of the year. Margin pressure may continue in Q3 due to infrastructure migration, but we anticipate stabilisation by Q4.

Risks remain in three areas:

First, regulatory change in the EU could increase compliance costs further.

Second, customer procurement cycles are lengthening in the enterprise segment.

Third, foreign exchange volatility may affect reported earnings.

That said, demand for AI-enabled analytics remains strong, and our product pipeline is robust.

Operator:

We will now open the line for questions.